

23-3b Investment

Investment (spending on business capital, residential capital, and inventories) is the purchase of goods (called *capital goods*) that will be used in the future to produce more goods and services. Investment is the sum of purchases of business capital, residential capital, and inventories. Business capital includes business structures (such as a factory or office building), equipment (such as a worker's computer), and intellectual property products (such as the software that runs the computer). Residential capital includes the landlord's apartment building and a homeowner's personal residence. By convention, the purchase of a new house is the one type of household spending categorized as investment rather than consumption.

As mentioned earlier, the treatment of inventory accumulation is noteworthy. When Apple produces a computer and adds it to its inventory instead of selling it, Apple is assumed to have "purchased" the computer for itself. That is, the national income accountants treat the computer as part of Apple's investment spending. (When Apple later sells the computer out of inventory, the sale will subtract from Apple's inventory investment, offsetting the positive expenditure of the buyer.) Inventories are treated this way because GDP aims to measure the value of the economy's production, and goods added to inventory are part of that period's production.

Note that GDP accounting uses the word *investment* differently from how you might hear the term in everyday conversation. When you hear the word *investment*, you might think of financial investments, such as stocks, bonds, and mutual funds—topics that we study later in this book. By contrast, because GDP measures expenditure on goods and services, here the word *investment* means purchases of goods (such as business capital, residential structures, and inventories) that will be used to produce other goods and services in the future.